

Module 6

Interpretation of Financial Statements

Learning Objectives

By the end of this module you should understand:

1. The need for ratio analysis of external financial statements
2. The strengths and weaknesses of ratio analysis
3. The major ratios commonly used: liquidity ratios, profitability ratios, capital structure ratios, and efficiency ratios
4. How to expand the external analysis to an integrated chart analysis focusing on return on investment
5. The basic stock market ratios

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Review Questions

Case Studies

In chapter 1, we saw how this course is designed to cover both accounting functions – financial and managerial

**Financial Accounting
(Reporting)**

Compiling accounting information into financial statements showing the ***overall*** picture of the firm

Important for managers and shareholders in taking decisions and assessing company's performance

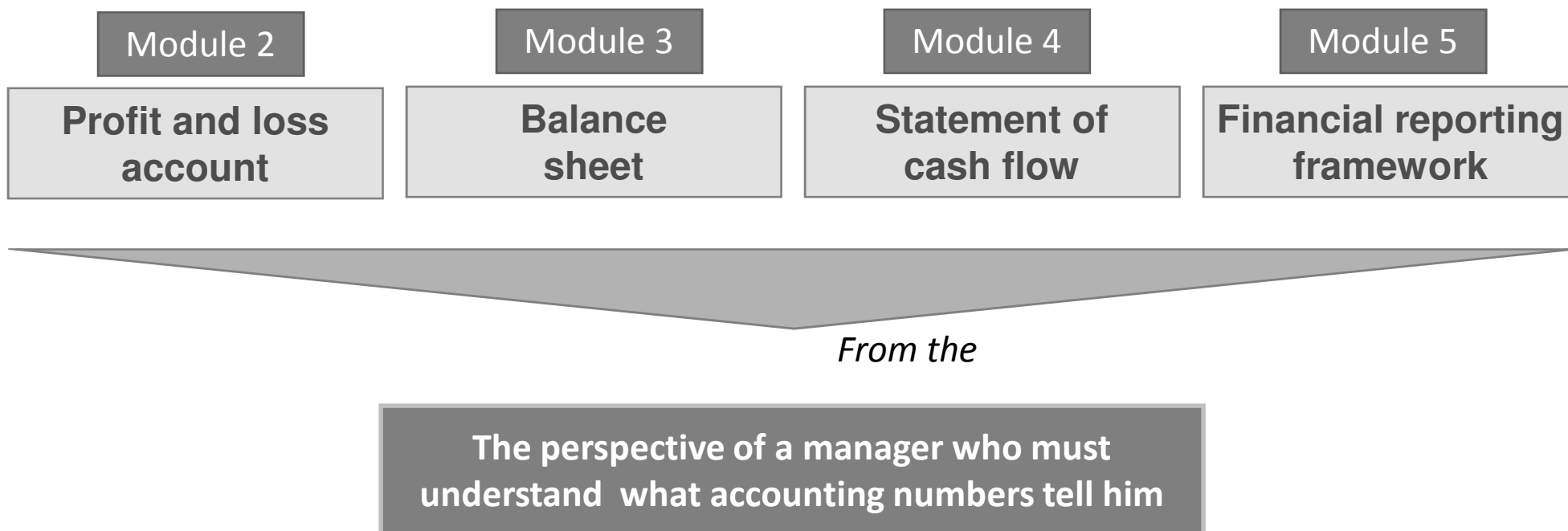
**Management
Accounting**

Predicting future prices and costs of daily operations

Important for managers to plan and control the day to-day activities of the business

The first 7 modules of this course address financial accounting for managers; the following 9 modules address management accounting for decision making

So far we've covered the meaning and the basic construction of the principal financial statements prepared by a company



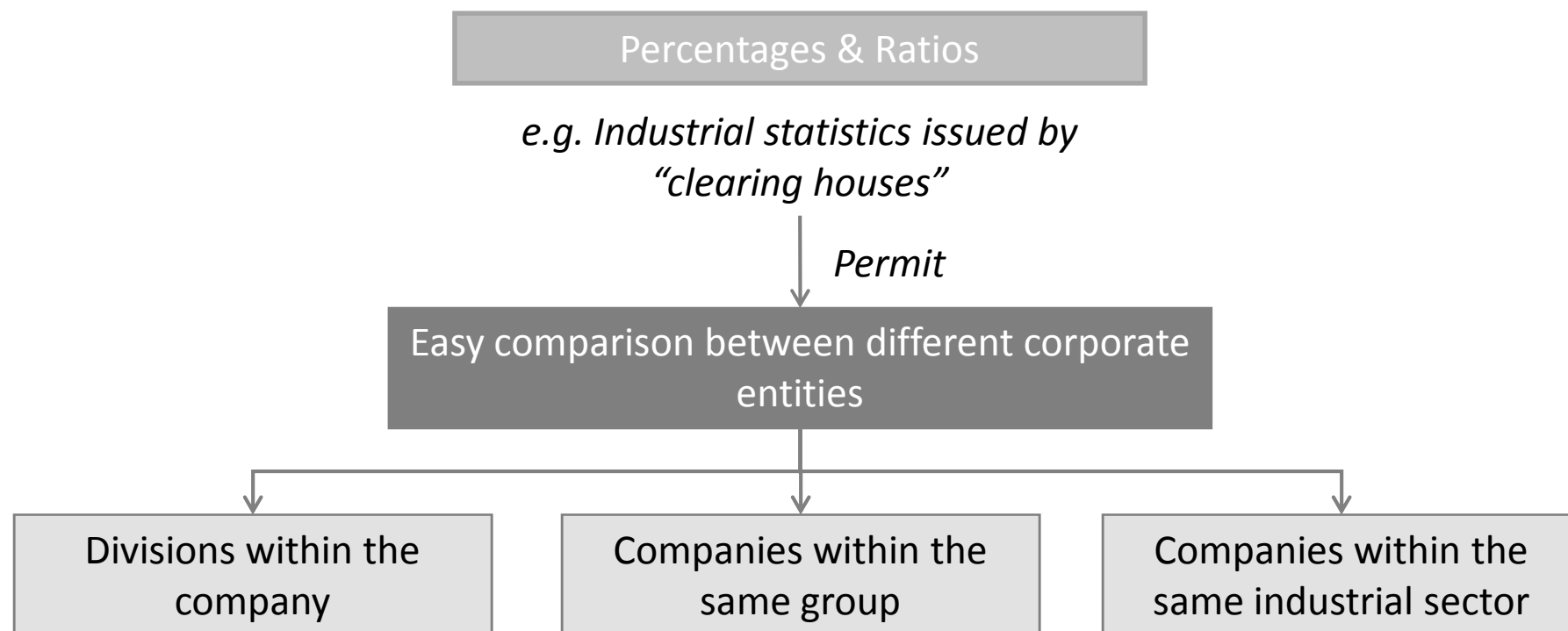
This module completes that broad picture as it helps managers interpret accounting information

Financial interpretation allow managers:

1	Inter-period Comparison	Compare the performance of the company this period with last
2	Inter-firm Comparison	Compare the performance of the company with that of its competitors
3	Comparison against Set Expectations	Compare the performance of the company with what the directors expected
4	Weaknesses Uncovering	Detect areas of weaknesses to direct managerial efforts towards

Interpreting financial statements is the logical extension to constructing and reading them

Absolute figures as reported in financial statements do not tell very much; unlike ratios that allow companies to gauge their performance against benchmarks



Average industrial figures are usually a reasonable guide to management as to how their companies have performed over the accounting period

A word of warning about ratios

Ratios can suppress poor absolute figures

Example

- A company could report a 300% growth → impression of success and progress
- A competitor using the same amount of capital and labor inputs are enjoying sales of €1,000

Using average figures should be used for ratios rather than year-end figures

No two companies measure these ratios in the same way

A company must apply its definitions consistently for all accounting periods

It's better to draw conclusions from the ratios' trend rather than one year's numbers

Consolidated financial statements should be used wherever possible

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We will conduct our ratio analysis on MBA's industrial operations figures since these are the most significant contributor to the overall results

MBA Group Income Statement

in euro million	Notes	Group 20x2	Group 20x1	Industrial operations* 20x2	Industrial operations* 20x1	Financial operations* 20x2	Financial operations* 20x1
Revenues	7	44 335	41 525	43 662	39 712	8 479	7 822
Cost of sales	8	-34 064	-32 090	-34 107	-30 925	-7 423	-6 857
Gross profit		10 271	9 435	9 555	8 787	1 056	965
Sales and administration	9	-4 653	-4 446	-4 255	-4 058	-424	-407
R&D costs	10	-2 334	-2 146	-2 334	-2 146	-	-
Other operating income and expenses	11	461	510	426	469	14	11
Profit before financial result		3 745	3 353	3 392	3 052	646	569
Financial result	12	-191	-148	-207	-229	57	89
Profit from ordinary activities		3 554	3 205	3 185	2 823	703	658
Income taxes	13	-1 332	-1 258	-1 204	-1 128	-254	-231
Net profit	14	2 222	1 947	1 981	1 695	449	427
Earnings per share of common stock in euro	15	3.30	2.89				
Earnings per share of preferred stock in euro	15	3.32	2.91				

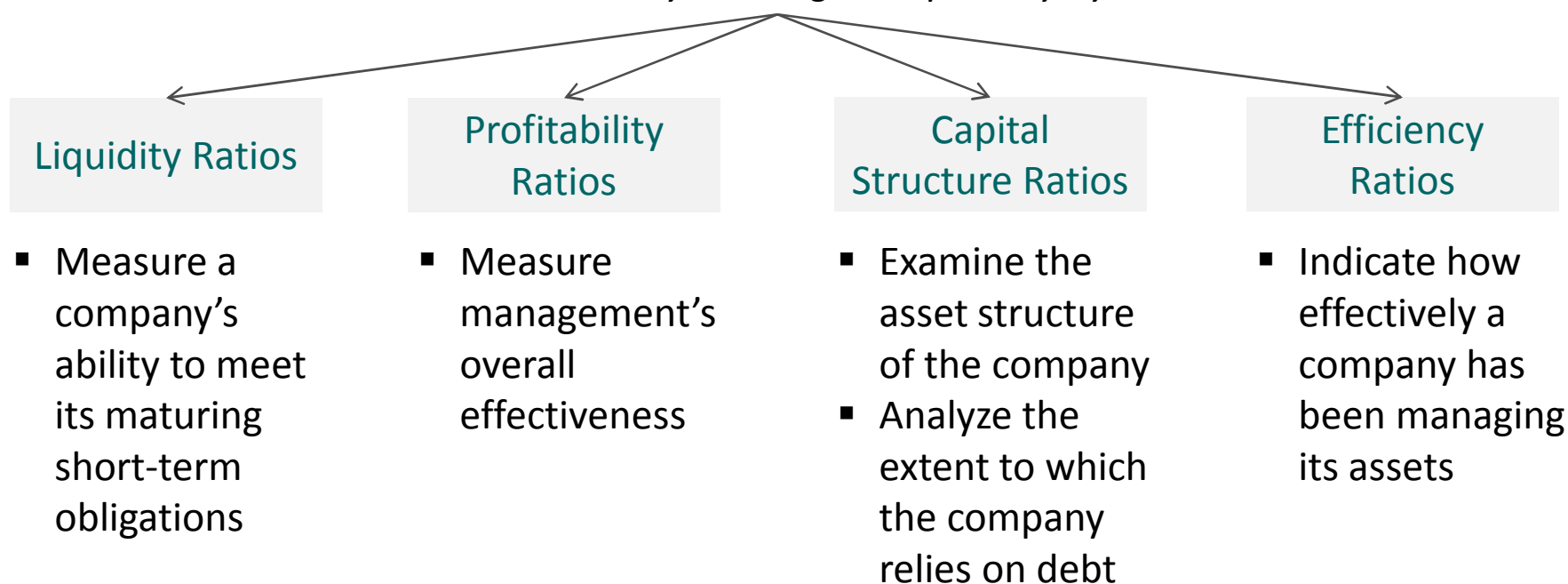
* before consolidation of transactions between the sub-groups

The authors have created their own 'industrial averages' from data collated from each of the sectors in which MBA is active

Financial ratios enable managers to reduce the amount of data to a workable form and to make it more meaningful

Financial Ratios

Relationship between two quantities on a company's financial statements, derived by dividing one quantity by another



Managers must learn which ratios are appropriate, however they seldom provide conclusive answers, they just lead you into asking the right questions

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Case Studies

Managers' first concern is liquidity, they ask "Is the company able to meet its short-term maturing obligations?"

Current Ratio

$$\frac{\text{Current Assets}}{\text{Current Liabilities}}$$

A company is in a good position:

If current assets exceed current liabilities by a comfortable margin

- $\text{MBA} = \frac{16,924}{(3,070 + 1,606)} = 3.62 \text{ times}$
- Industry sector = 2.58 times

Healthy Position

Quick Ratio (Acid Test)

$$\frac{\text{Current Assets} - \text{Inventory}}{\text{Current Liabilities}}$$

Widely accepted rule of thumb of 1 times:

The company has enough to pay its obligations, no matter how bad its inventories are performing

- $\text{MBA} = \frac{16,924 - 6,458}{(3,070 + 1,606)} = 2.24 \text{ times}$
- Industry sector = 1.27 times

Healthy Position

It is wrongly perceived as a rule of thumb that a 2 times current ratio indicates a sound financial situation

Wrong Perceptions

A company can pay its bills because it has a current ratio greater than 2 times.

A ratio of less than 2 times indicates that a company cannot pay its bills

Example

A company has the following:

- Current assets of €4,000 (cash €2,000 + inventory €2,000)
- Current liabilities of €2,500 (all creditors)
- Therefore current ratio = 1.6 times

Next accounting period:

- Paid off current liabilities of €2,000 in cash
- Therefore current ratio = 4 times (Inventory €2,000/ Creditors €500)

Since nothing is known about the marketability of inventory it might be that the liquidity position of 1.6 times is healthier than 4 times in this example.

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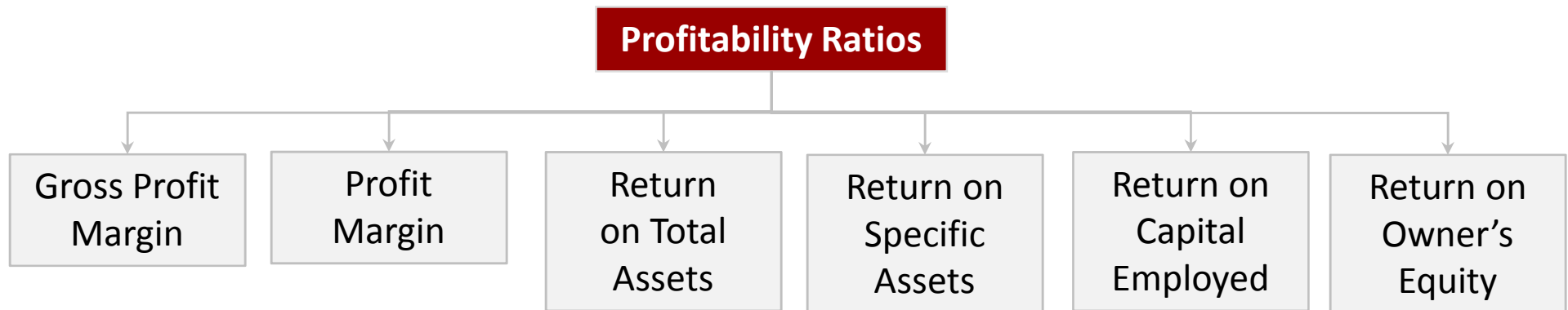
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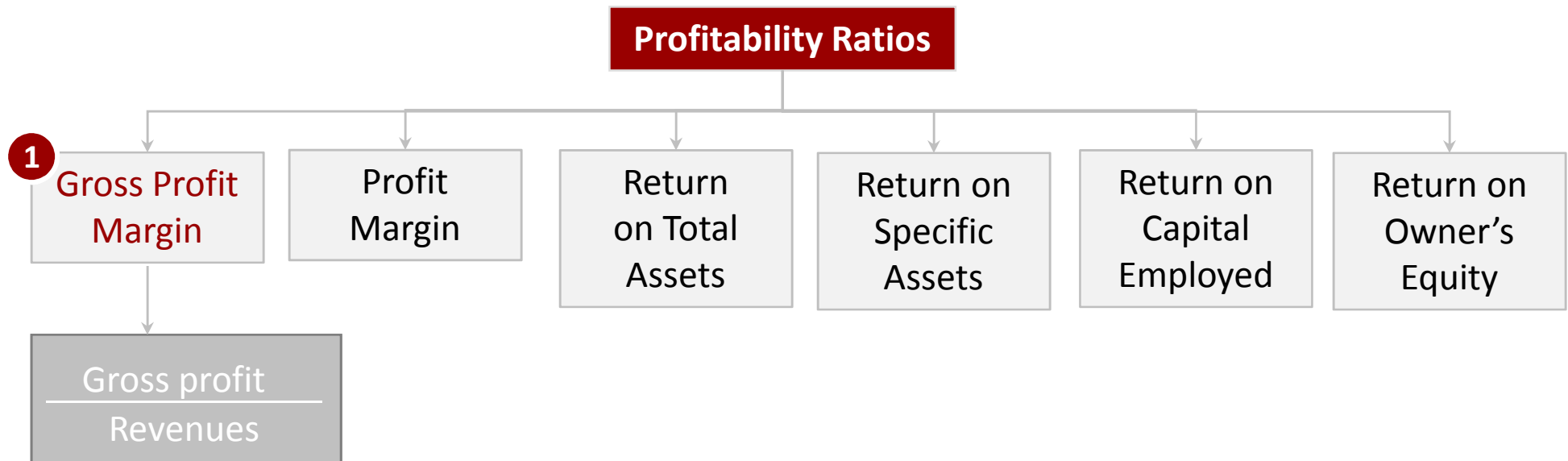
Case Studies

If liquidity is management's first concern for short-term survival, then profitability gives them an insight into long-term survival



Profitability ratios give some answers as to how effective this managerial action has been

If liquidity is management's first concern for short-term survival, then profitability gives them an insight into long-term survival

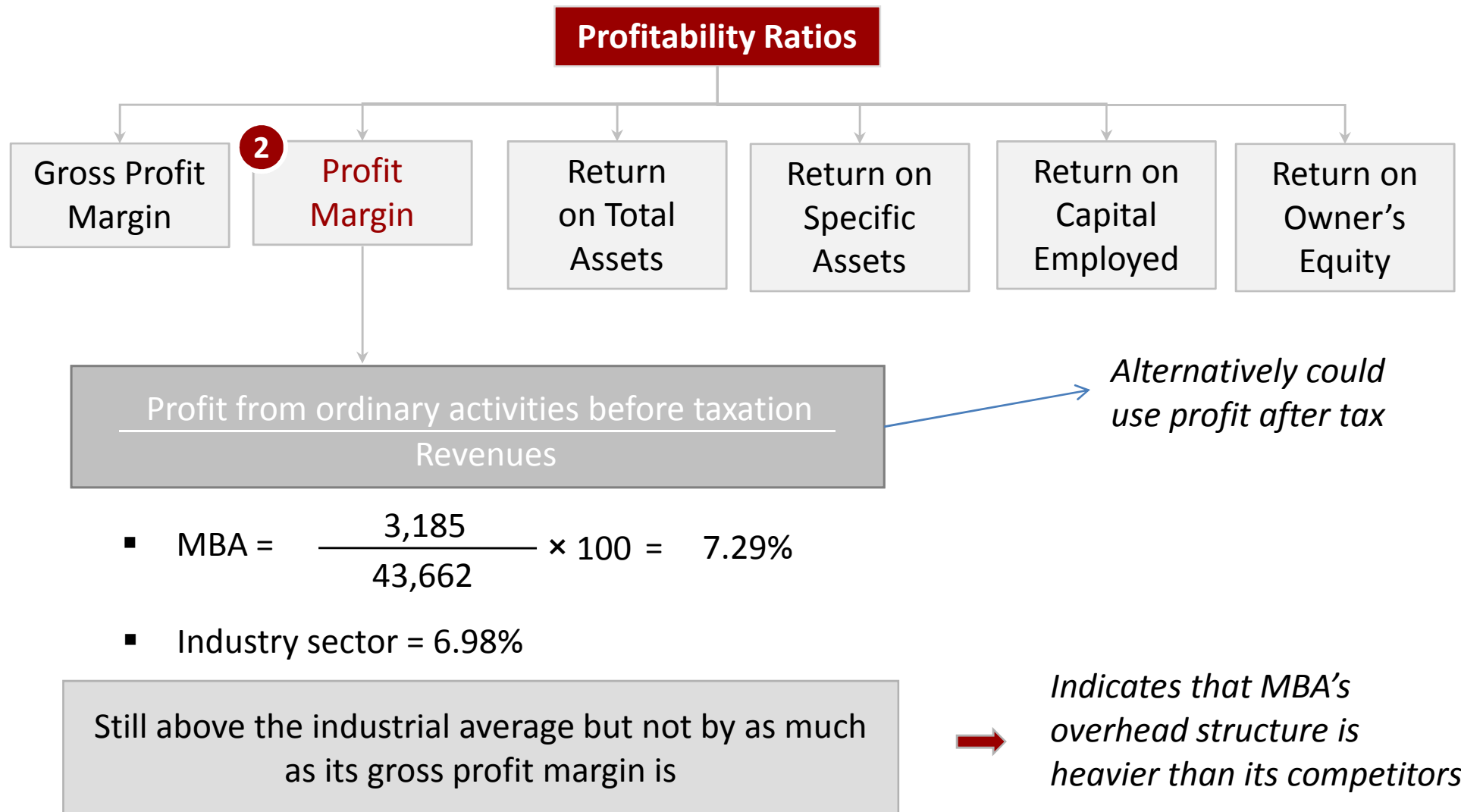


- $$MBA = \frac{8,787}{43,662} \times 100 = 20.12\%$$

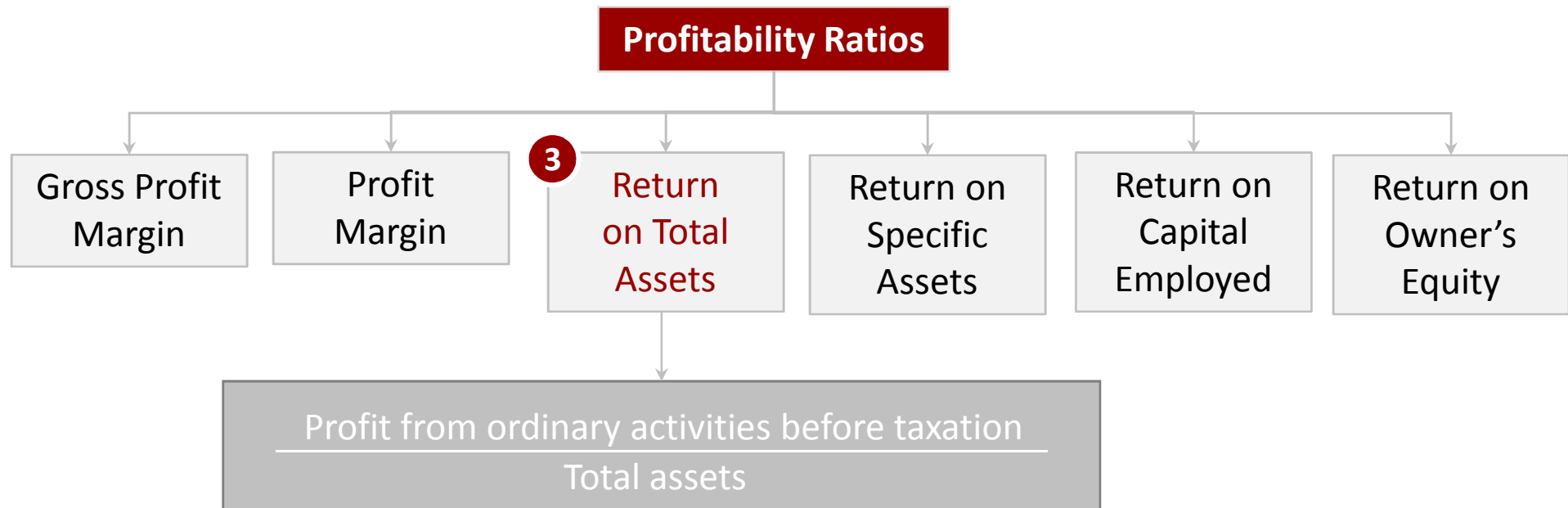
- Industry sector = 14.61%

Well above the industry average

If liquidity is management's first concern for short-term survival, then profitability gives them an insight into long-term survival



If liquidity is management's first concern for short-term survival, then profitability gives them an insight into long-term survival

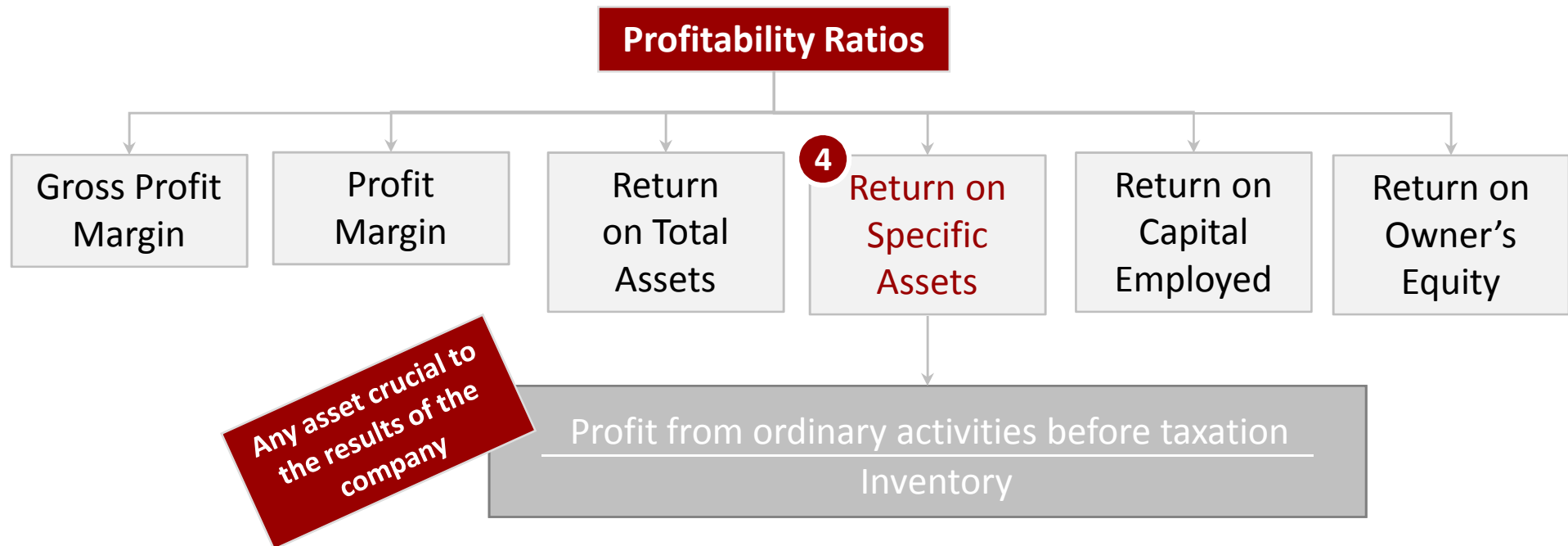


- $$\text{MBA} = \frac{3,185}{32,653} \times 100 = 9.75\%$$
- Industry sector = 7.91%

MBA is in a good position as it is 'working its assets' harder than its competitors

This advantage could be caused by MBA's assets being older (worth less) than their competitors' assets

If liquidity is management's first concern for short-term survival, then profitability gives them an insight into long-term survival



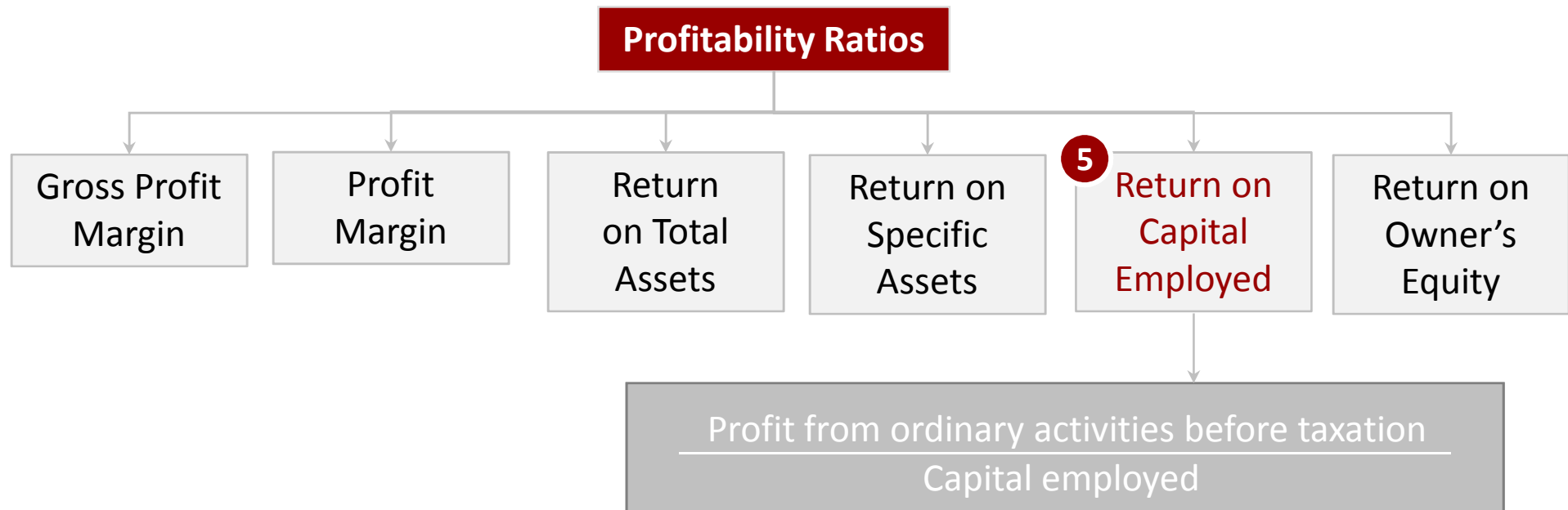
$$\text{MBA} = \frac{3,185}{6,458} \times 100 = 49.32\%$$

Industry sector = 60.08%

An industry which records a return of under 100% is one that requires a relatively heavy inventory level
A service firm like a solicitor records above 100%

➔ *MBA's performance suggests that it is carrying more inventory than its competitors*

If liquidity is management's first concern for short-term survival, then profitability gives them an insight into long-term survival



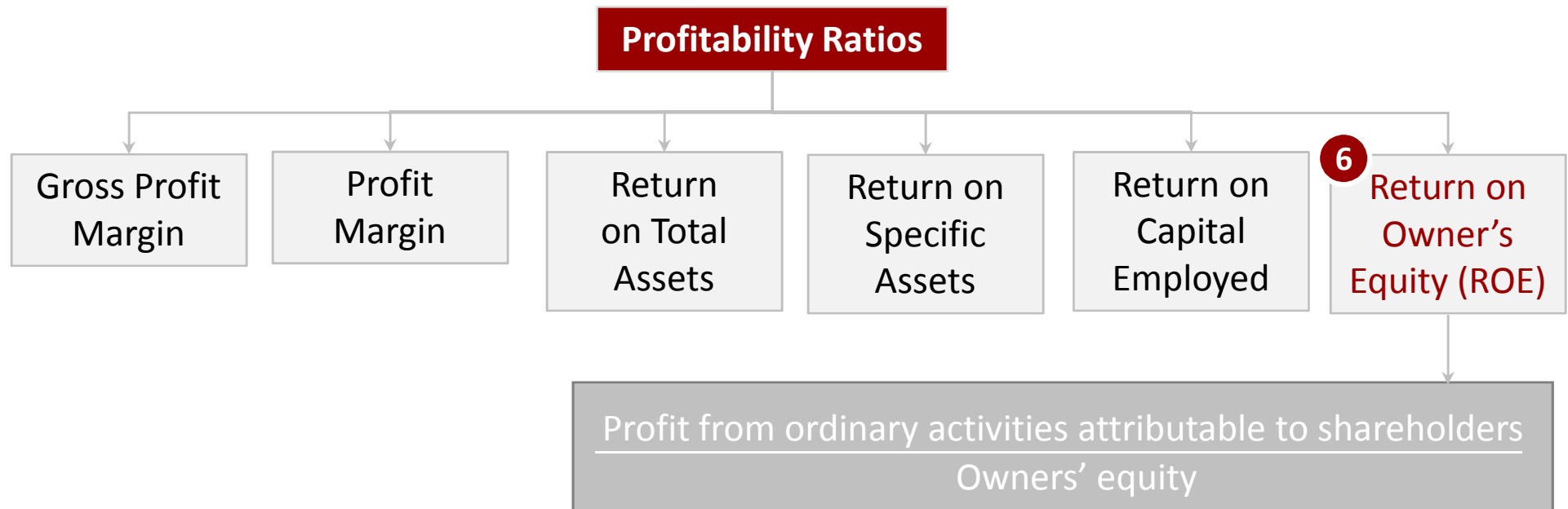
- $$\text{MBA} = \frac{3,185}{32,653 - (3,070 + 1,606)} \times 100 = 11.38\%$$
- Industry sector = 9.82%

Capital Employed comprises the total assets of Industrial operations minus current liabilities (owner's equity + the long-term loans and provisions)



An indicator of the magnitude of resources locked up in the business

If liquidity is management's first concern for short-term survival, then profitability gives them an insight into long-term survival



- $$MBA = \frac{3,185}{14,647} \times 100 = 21.74\%$$
- Industry sector = 19.11%

The most important profitability ratio

Increase in ROE is not necessarily a good sign as it may indicate increase in debt

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The first capital structure ratio examines the asset structure of the company while the second group of ratios analyzes how the company's assets have been financed

Gearing Ratios

Non-current to Current
Asset Ratio

$\frac{\text{Fixed Assets}}{\text{Current assets}}$

- $\text{MBA} = \frac{15,413}{16,924} \times 100 = 91\%$

- Industry sector = 102%

Highlights the fact that for every €1 invested in current assets, MBA has invested around €0.91 in fixed assets

Time Interest
Earned

$\frac{\text{Profit before financial result}}{\text{Interest charges}}$

- $\text{MBA} = \frac{3,392}{207} = 16.38 \times$

- Industry sector = NA

MBA's interest charges are covered over 16 times by current profits which is consistent with its relatively low gearing

Debt
Ratio

$\frac{\text{Total debt}}{\text{Total assets}}$

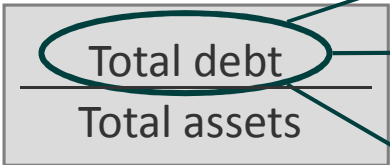
- $\text{MBA} = \frac{9,056 + 6,142 + 1,800 + 1,008}{32,653}$

= 55.14%

- Industry sector = 61%

Of every €1 MBA has invested in its assets, 55.14 cents has been contributed by persons other than shareholders

The debt ratio measures the proportion of assets that are financed by debt; there are two ways to measure the debt ratio

1 Debt Ratio = 
$$= \frac{\text{All creditors and provisions}}{\text{Total assets}}$$

2 Debt Ratio =
$$\frac{9,056 + 6,142 + 1,800 + 1,008}{14,647} \times 100 = 122.93\%$$

Analysts tend to use ratios that they are familiar with and for which there are industrial averages available

Gearing ratios (leverage) measure the contributions from shareholders with the financing provided by the company's creditors and other providers of loan capital

	Highly-g geared companies	Low-g geared companies
Debt Ratio	High	Low
Risk	High	Low
Risk Bearing	By creditors	Shareholders
Control	Shareholders	Shareholders
Hard Times	Very exposed ↓ Due to a high fixed interest charge on reducing profits	Less risk of loss ↓ No fixed interest charge that affects profits
Boom Times	Enjoy high profits	Lower returns

To illustrate further the impact of gearing, let us play with MBA's numbers from the data given in the 20x2 accounts

Example

1. Profits before financial result for 20x2 = €3,392 million
2. Interest charge for 20x2 = €207 million. (Let's assume this figure is exclusively interest paid on borrowed money)
3. Gearing percentage = 55.14%.
4. Owners' equity = €14,647 million

For illustrative purposes let us imagine two starkly different scenarios for 20x3:

- a) Profits are roughly one-sixteenth of 20x2 levels due to a catastrophic downturn in every market in which MBA is currently a world leader
- b) Profits double in 20x3

Further assumptions

- a) For both 20x2 and 20x3 the gearing percentage is increased by 50% to 82.71 %
- b) This would have two effects: owners' equity would be reduced from €14,647 million to €5,646 million (the difference being the increased level of debt), and annual interest would be increased by 50% to €310 million)

The following table sets out the 3 profit scenarios assuming two levels of gearing (A) the relatively low level of 55% and (B) an imaginary high level of 83%

Solution

	Doomsday! One-sixteenth profits €m	Current position €m	Utopia! Double profits €m
A Profits before financial result	207	3 392	6 784
Interest charge	207	207	207
Available to equity	–	3 185	6 577
Shareholders' equity	14 647	14 647	14 647
Low-gearred return on equity	NIL	21.74%	44.90%
	€m	€m	€m
B Profits before financial result	207	3 392	6 784
Interest charge	310	310	310
Available to equity	(103)	3 082	6 474
Shareholders' equity	5 646	5 646	5 646
High-gearred return on equity	negative	54.58%	114.66%

Available to equity €6,577
Equity €14,647

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Efficiency ratios (comparisons between sales and investment in various assets) are designed to judge how effectively a company manages its assets

Inventory Turnover

$$\frac{\text{Cost of sales}}{\text{Inventory}}$$

- $\text{MBA} = \frac{34,107}{6,458} = 5.28 \times$
- Industry sector = 7.1 x

A low turnover is usually a bad sign because products tend to deteriorate as they sit in a warehouse

Average Collection Period

$$\frac{\text{Trade receivables}}{\text{Revenues per day}}$$

- $\text{MBA} = \frac{1,820}{43,662 / 365} = 15 \text{ days}$
- Industry sector = 21 days

The ratio represents the average length of time that a company must wait after making a sale before receiving the cash

Non-current Assets Turnover

$$\frac{\text{Revenues}}{\text{Non-current assets}}$$

- $\text{MBA} = \frac{43,662}{15,413} = 2.83 \times$
- Industry sector = 2.02 x

MBA's ratio is superior to its competitors:

- Could be that MBA's management is more efficient at 'working its assets'
- Competition makes a more realistic valuation of its fixed assets

Let's explore the inventory turnover ratio further

Inventory

An asset which companies require to invest in to act as a buffer between ***uncertain demand*** for the finished products on the one hand and ***uncertain supply*** of raw materials and the vagaries of the production cycle on the other

Just-in-time programs of raw material deliveries

Where the company can be assured that the correct quantity of materials at the correct quality will be delivered at the correct time

The other end of the supply chain

Finished goods are held to guard against a sudden surge in demand

Managing a company's inventory is very critical, that's why management watches the supply chain closely

In our definition of inventory turnover, we have used cost of sales divided by Inventory; some use revenues instead of COGS – this is less accurate

Using Cost of Sales



It divides:

- The number of cost of sales by
- A number that contains only costs (Inventory)



Oranges divided by oranges

Using Revenues



It divides:

- A number that contains cost of sales and profit (Revenues) by
- A number that contains only costs (Inventory)



Appless divided by oranges

No 2 companies define costs in the same way
No 2 companies disclose these costs in the same way

either



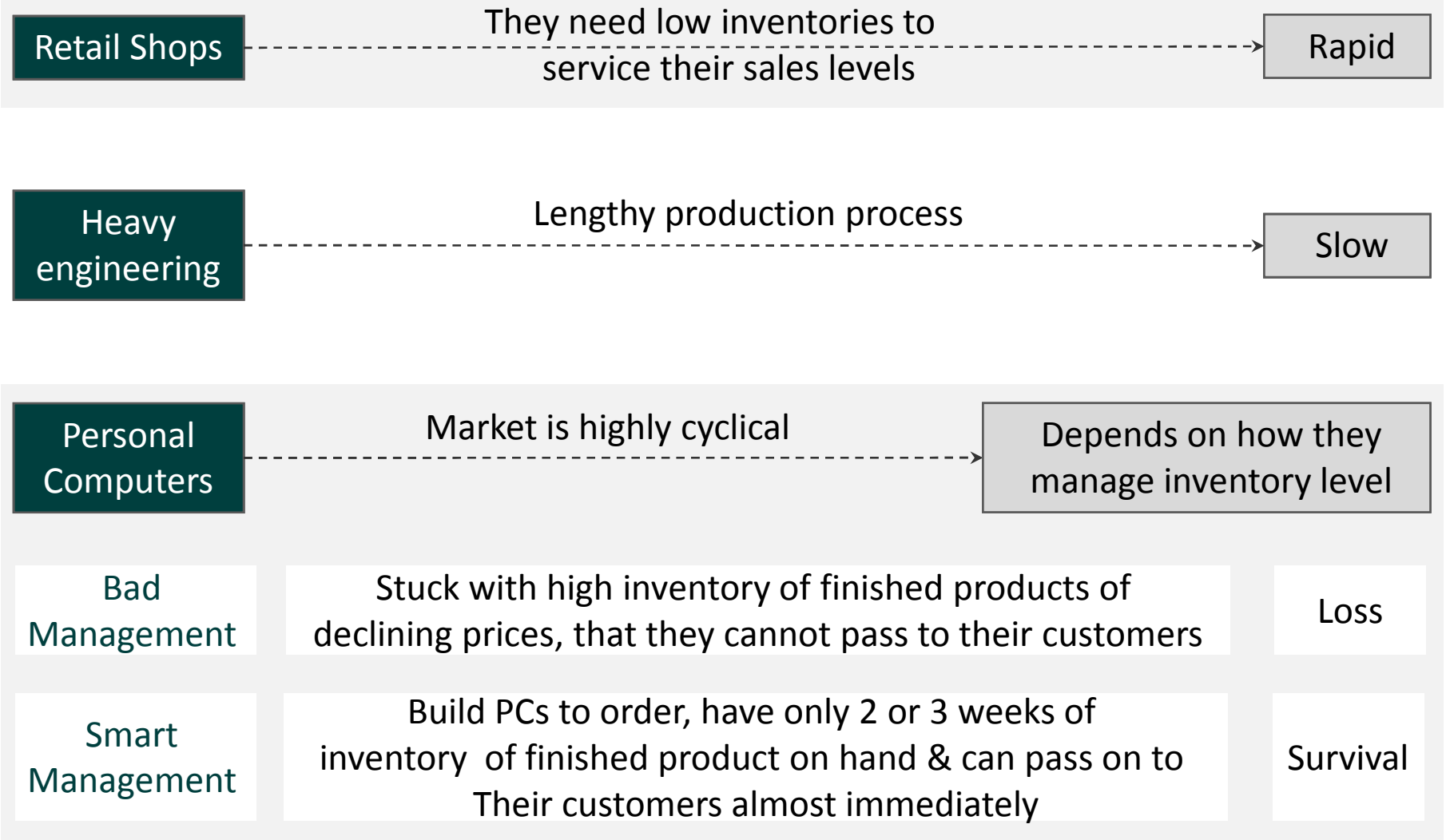
The item 'Cost of sales' is individually identified in the P/L account or in the notes

or



Students should try to identify the raw material and labor components in the costs

Different industries have significantly different inventory turnovers



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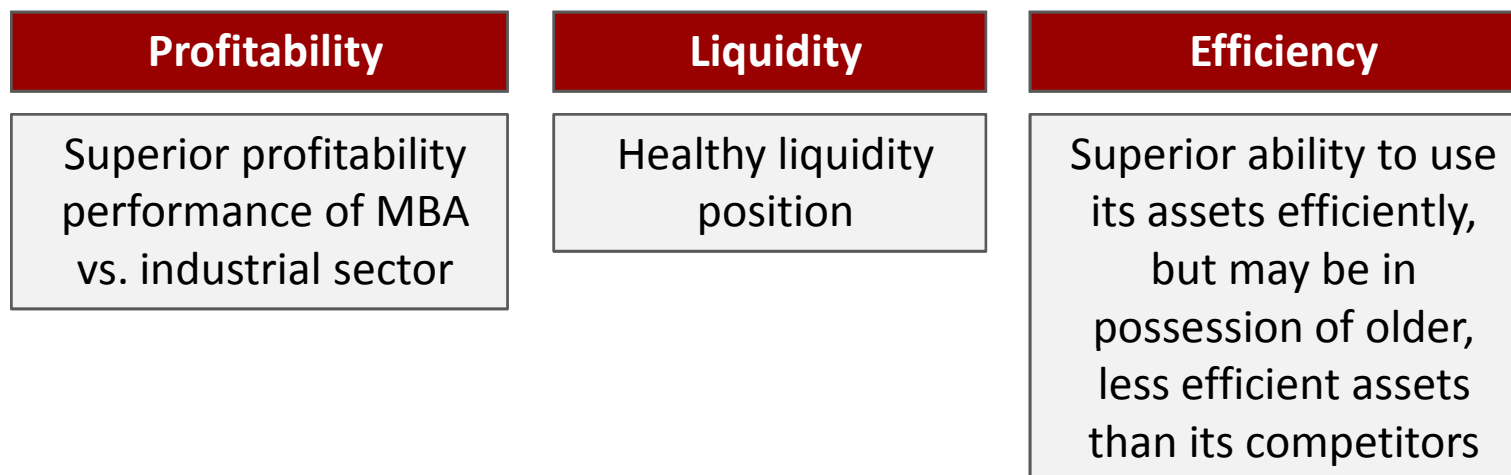
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Provided they are used consistently so as to reveal long-term trends and insight into the business, managers should develop any ratio they think is meaningful

The 15 ratios calculated shos:



The above ratio analysis does not provide conclusive answers, it does indicate to management which areas require further investigation



They can develop other ratios focusing on asset efficiency

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Window dressing occurs when management enters artificial arrangements with the sole purpose of making their accounts, and thus the ratios, look better

Consider the working capital position of a company:

Current assets	€
Inventory	400
Receivables	200
Cash	100
	700
Current liabilities	
Payables	500
Net current assets	<u>200</u>

$$\text{Current ratio} = \frac{700}{500} = 1.4 \text{ times}$$

$$\text{Quick ratio} = \frac{(700 - 400)}{500} = 0.6 \text{ times}$$

Imagine that management does not wish to be subjected to adverse comment on its liquidity

The company arranges to 'sell' €200 of finished goods inventory to customers who agree to return the goods shortly after the beginning of the next financial year

On the day the balance sheet is drawn up:

Current assets	€
Inventory	200
Debtors	400
Cash	100
	700
Current liabilities	
Creditors	500
Net current assets	<u>200</u>

$$\text{Current ratio} = \frac{700}{500} = 1.4 \text{ times}$$

$$\text{Quick ratio} = \frac{(700 - 200)}{500} = 1.0 \text{ times}$$

This practice might be detected by the company's external auditor who may take the view that the company's statements do not show a true and fair view

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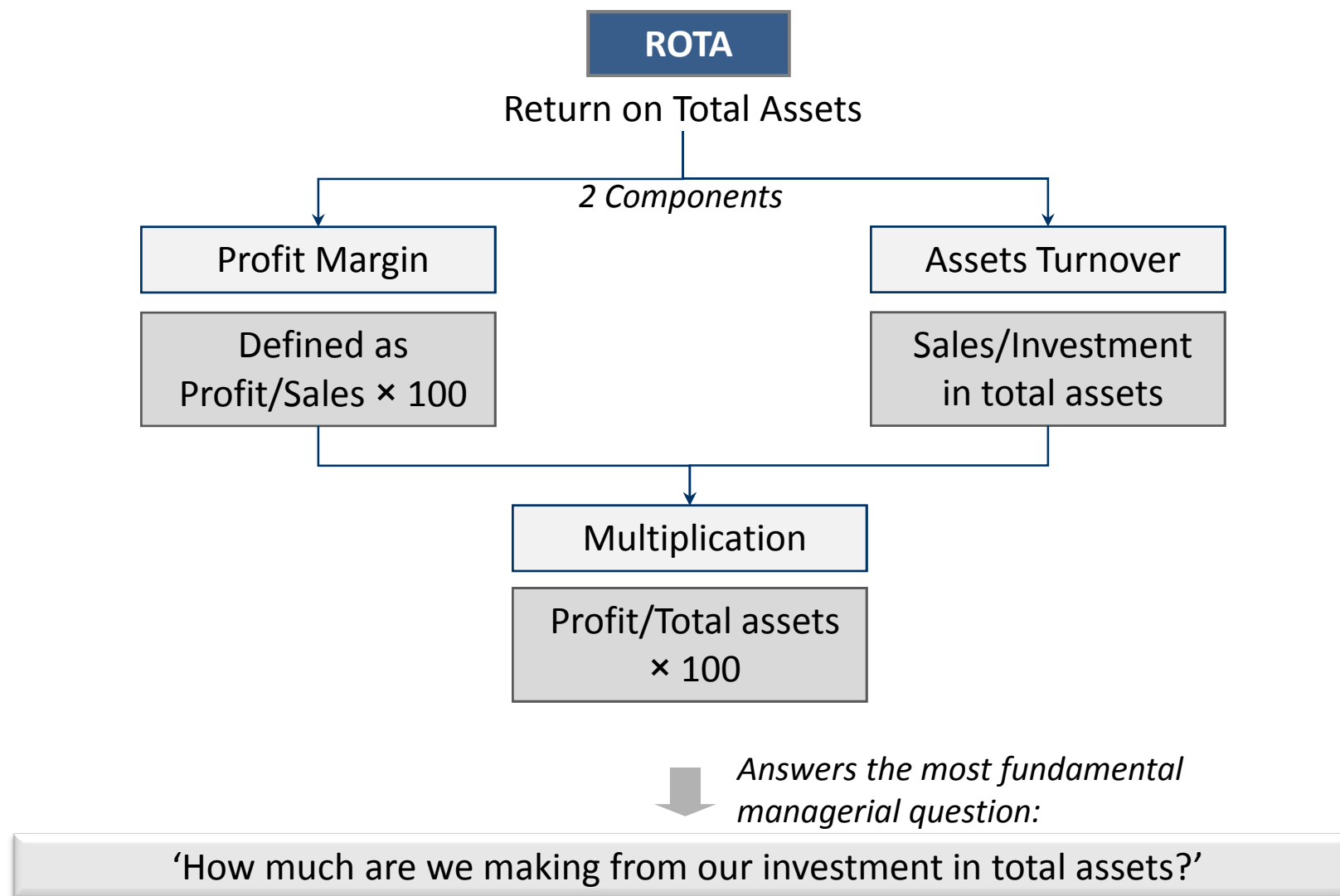
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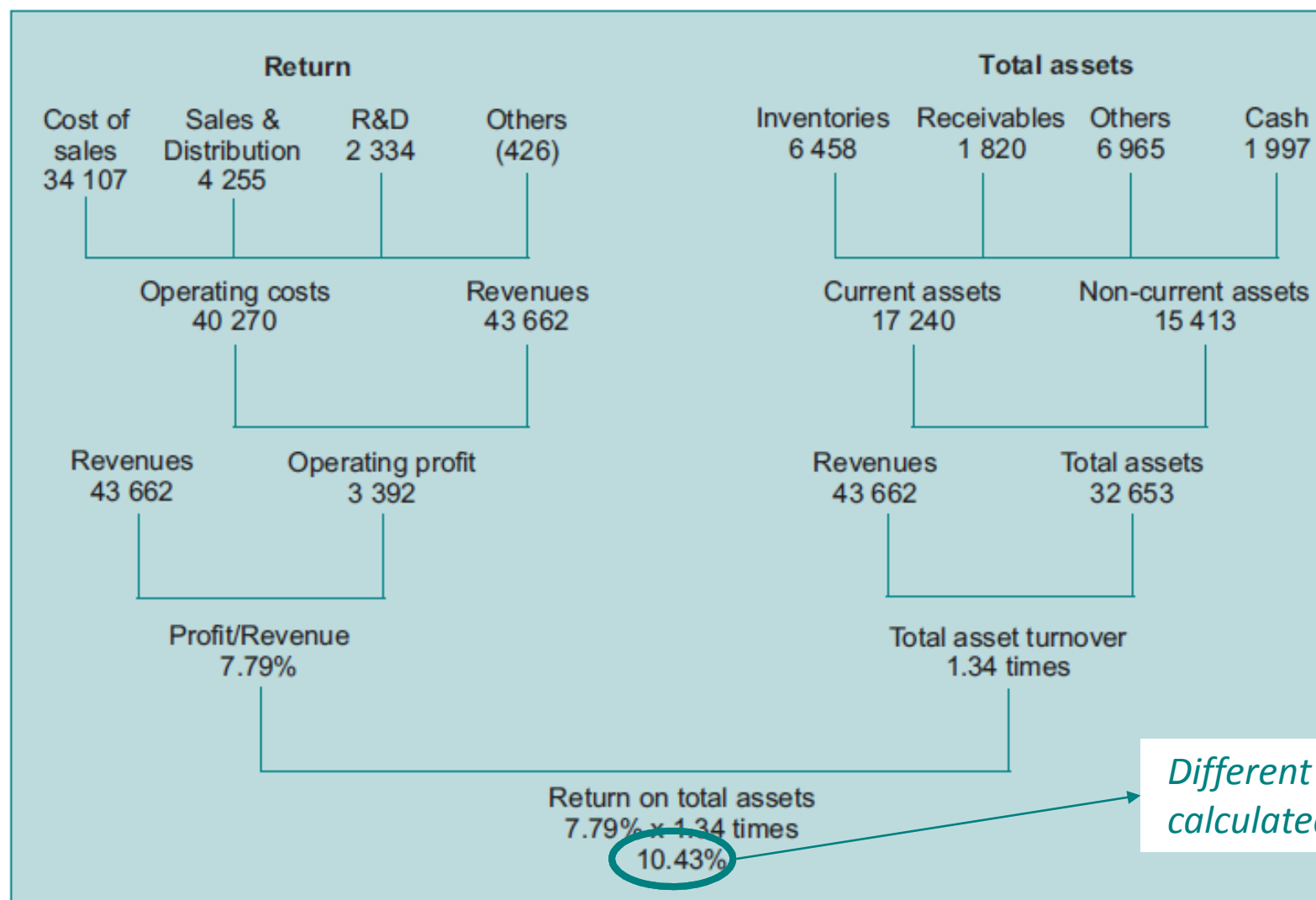
Case Studies

One ratio is deemed by most companies to be ultimately significant, namely Return on Total Assets (ROTA)



Dupont (a chemical company) employed a comprehensive chart identifying the components of the ratio; now universally called the Dupont Chart

The Dupont Chart for MBA's 20x2 performance



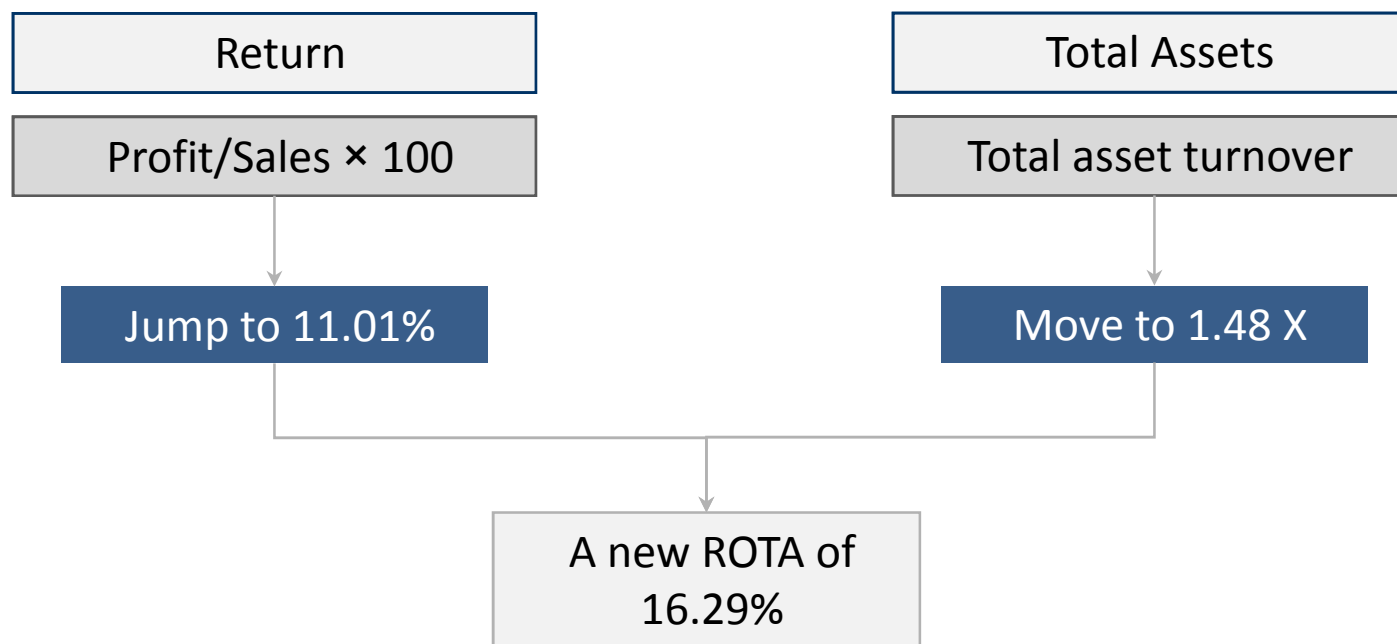
An improvement in ROTA can be achieved by an improvement in profitability or in asset management or in a combination of both

Example

Recalculate MBA's numbers making two assumptions, neither of which is commercially desirable or possible:

- (a) Sales and distribution costs are reduced by one third
- (b) Inventories are halved overnight to €3229 million.

Solution



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A favorite technique is used by managers: One hundred per cent statement in which sales are set at 100% & each cost item is calculated as a percentage of sales

MBA

	20x2			20x1		
	€	€	%	%	€	€
Revenue		43 662	100	100	39 712	
Cost of sales	34 107		78.11	77.87		30 925
Sales and distribution costs	4 255		9.74	10.22		4 058
R&D	2 334		5.34	5.40		2 146
Other costs	(426)		(0.97)	(1.18)		(469)
Operating costs		40 270	92.22	92.31	36 660	
Operating profit before other operating income		3 392	7.78	7.69	3 052	

This 100% technique reveals 3 items that need to be investigated by MBA's management

1 An increase in cost of sales

Management should drill into the cause of this rise to see if remedial action can be taken to reverse the rise

2 A decrease in sales & distribution

Excellent news as it does not seem to have had a negative impact on top line revenues

3 A decrease in R&D

MBA depends on its future product stream on the quality of its R&D. Shrinking the spend, even marginally, may not be a wise move

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Managers are concerned with how the outside world views the company's future prospects, these ratios are based on daily stock market quotations

Earnings per Share (EPS)	Price/Earnings Ratio (PE)	Dividend Yield	Dividend Cover
$\frac{\text{Net profit}}{\text{\# of ordinary shares in issue}}$ Investors are interested in an upward climb of earnings per share year-after-year	$\frac{\text{Market price}}{\text{EPS}}$ $= \frac{€35}{€3.30} = 10.61\%$ The figure of 11 informs investors that the share price of €35 represents the purchase of around 11 years' profits	$\frac{\text{Dividend / share}}{\text{Market value / share}} \times 100$ $= \frac{€0.62}{€35} = 1.77\%$ The investor wants to know the dividend return to be enjoyed based on the market value to be paid for shares today	$\frac{\text{Profit from ordinary activities attributable to common stock}}{\text{Dividend payout}}$ # of ordinary shares × DPS $= \frac{€2051.7}{€385.8} = 5.32 \times$ It draws attention to overgenerous management that pays out too much dividends

Another important dividend ratio is the gross dividend yield

$$\text{Gross dividend yield} = \frac{\text{Dividend / share} \times 1/(1-\text{Tax Rate})}{\text{Market value / share}} \times 100$$

Assume the tax credit is 20%:

$$= \frac{€0.62 \times 100/80}{€35} \times 100 = 2.23\%$$

Why use the gross dividend yield?

In many fiscal regimes, a company is obliged to pay the government a tax credit on the dividend before it pays the shareholder. Therefore, it is common practice to 'gross-up' the dividend received by the shareholder by the rate of tax paid by the company in order to gain a view of the gross dividend yield

Multiple Choice Questions

6.1 In using ratio analysis to assist in the interpretation of financial statements, it is important that the user of the ratios pays particular attention to:

- i. The trend of ratios over several accounting periods
- ii. The absolute amount of ratios
- iii. The comparison of ratios with those of similar companies in the same industrial sector
- iv. The application of consistency in computing ratios

Which of the following is correct?

- A. (i) and (ii) only.
- B. (i), (ii) and (iii) only.
- C. (i), (iii) and (iv) only.
- D. (iii) and (iv) only.

Multiple Choice Questions (Continued)

6.2 Accounting ratios have different prime objectives.

- i. Capital structure ratios are designed to assess a company's ability to meet its short term obligations
- ii. Efficiency ratios indicate management's overall effectiveness
- iii. Profitability ratios indicate how effectively a company has been managing its assets
- iv. Liquidity ratios analyze the financing arrangements behind a company's assets

Which of the following is correct?

- A. (i) and (ii) only.
- B. (i), (ii) and (iii) only.
- C. (iii) and (iv) only.
- D. Not (i), not (ii), not (iii), not (iv).

Multiple Choice Questions (Continued)

6.3 What effect does the purchase of fixed assets, for cash, have on the current and the quick ratio?

- A. Current increases; quick decreases.
- B. Current unchanged; quick decreases.
- C. Current decreases; quick increases.
- D. Current decreases; quick decreases.

Multiple Choice Questions (Continued)

6.4 Which of the following should be included in a computation of the current ratio?

- A. Share capital.
- B. Creditors of more than one year.
- C. Motor vehicles.
- D. Debtors.

Multiple Choice Questions (Continued)

6.5 What effect does the receipt of cash from a debtor have on the current and the quick ratios?

- A. Current unchanged; quick unchanged.
- B. Current decreases; quick increases.
- C. Current increases; quick decreases.
- D. Current increases; quick unchanged.

Multiple Choice Questions (Continued)

6.6 Which of the following represents the most immediate method of effecting an improvement in a poor quick ratio?

- A. A decrease in purchases for inventory.
- B. An increase in the manufacture of finished goods.
- C. A slowing down of payments to suppliers.
- D. The introduction of stricter credit control procedures.

Multiple Choice Questions (Continued)

The following information applies to Questions 6.7–6.9.

From the year-end balance sheet of Bell Products Limited, the following items have been extracted:

	€
Creditors	25 000
Debtors	42 000
Inventories	33 000
Bank overdraft	12 500

6.7 What is the current ratio?

- A. 0.50 times.
- B. 2.00 times.
- C. 3.52 times.
- D. 8.00 times.

Debtors €42 000 + Inventories €33 000 = €75 000 (Current assets)

Creditors €25 000 + Overdraft €12 500 = €37 500 (Current liabilities)

Multiple Choice Questions (Continued)

6.8 What is the quick ratio?

- A. 0.60 times.
- B. 0.88 times.
- C. 1.12 times.
- D. 1.68 times.

Debtors = €42 000 (Current assets less inventory)
Creditors €25 000 + Overdraft €12 500 = €37 500 (Current liabilities)

Multiple Choice Questions (Continued)

6.9 Following discussions with the bank, the bank overdraft is converted into a term loan, the repayment of which is not due for two years. What are the revised current and quick ratios?

- A. Current 2.0 times; quick 0.88 times.
- B. Current 2.5 times; quick 1.65 times.
- C. Current 3.0 times; quick 1.68 times.
- D. Current 3.5 times; quick 1.68 times.

Revised current ratio = 3.0 times

Current assets (from 7 above) = €75 000

Current liabilities (creditors only) = €25 000

Revised quick ratio = 1.68 times

Debtors €42 000 and creditors €25 000

Multiple Choice Questions (Continued)

6.10 What is the current ratio in Award's consolidated balance sheet at 20x2?

- A. 0.67 times.
- B. 1.03 times.
- C. 1.49 times.
- D. 3.18 times.

$$\text{Current ratio} = \frac{\text{Current assets}}{\text{Current liabilities}} = \frac{€3932}{€5849} = 0.67 \text{ times}$$

Multiple Choice Questions (Continued)

6.11 What is the quick ratio in Award's consolidated balance sheet at 20x1?

- A. 0.53 times.
- B. 0.67 times.
- C. 0.69 times.
- D. 0.86 times.

$$\text{Quick ratio} = \frac{\text{Current assets} - \text{Inventory}}{\text{Current liabilities}} = \frac{€2446 - €460}{€2862} = 0.69 \text{ times}$$

Multiple Choice Questions (Continued)

6.12 In Award's consolidated accounts for 20x2, what is the profit margin ratio?

- A. 8.39%
- B. 10.48%
- C. 10.55%
- D. 13.55%

$$\begin{aligned}\text{Profit margin ratio} &= \frac{\text{Profit before tax}}{\text{Sales}} \\ &= \frac{€1161}{€8568} = 13.55\%\end{aligned}$$

Multiple Choice Questions (Continued)

6.13 In Award's consolidated accounts for 20x1, what is the return on total assets ratio?

- A. 3.99%
- B. 5.08%
- C. 6.76%
- D. 10.57%

$$\begin{aligned}\text{Return on total assets} &= \frac{\text{Profit before tax}}{\text{Total assets}} \\ &= \frac{€743}{€10\,983} = 6.76\%\end{aligned}$$

Multiple Choice Questions (Continued)

6.14 In Award's consolidated accounts for 20x2, what is the return on owners' equity?

- A. 5.92%
- B. 8.42%
- C. 10.69%
- D. 15.23%

$$\begin{aligned}\text{Return on owners' equity} &= \frac{\text{Profit attributable to shareholders}}{\text{Owners' equity}} \\ &= \frac{€719}{€8530} = 8.42\%\end{aligned}$$

Multiple Choice Questions (Continued)

6.15 In Award's consolidated accounts for 20x1, what is its non-current to current asset ratio?

- A. 78%
- B. 217%
- C. 349%
- D. 377%

$$\begin{aligned}\text{Non-current to current asset ratio} &= \frac{\text{Non-current assets}}{\text{Current assets}} \\ &= \frac{€8537}{€2446} = 349\%\end{aligned}$$

Multiple Choice Questions (Continued)

6.16 In Award's consolidated balance sheet, what is has its debt ratio in 20x2?

A. 51.91%

B. 54.13%

C. 57.02%

D. 91.65%

$$\text{Debt ratio} = \frac{\text{Total debt}}{\text{Total assets}} = \frac{€10\,066}{€18\,596} = 54.13\%$$

Where total debt comprises:

	€m
Minority interests	412
Non-current liabilities	3 805
Current liabilities	5 849
	10 066

Multiple Choice Questions (Continued)

6.17 Which of the following is correct?

- A. If profits are low, a highly geared company protects its shareholders' return on equity.
- B. If profits are high, a highly geared company permits its shareholders an increased return on equity.
- C. If profits are low, a lowly geared company exposes its shareholders to a higher return on equity.
- D. If profits are high, a lowly geared company permits its shareholders an increased return on equity.

Multiple Choice Questions (Continued)

6.18 In Award's consolidated profit and loss account in 20x1, what is the times interest earned ratio?

- A. 5.52 times.
- B. 5.67 times.
- C. 5.75 times.
- D. 6.40 times.

$$\frac{\text{Profit from operations}}{\text{Interest expense}} = \frac{€839}{€152} = 5.52 \text{ times}$$

Multiple Choice Questions (Continued)

6.19 In 20x2, what is Award's inventory turnover ratio?

- A. 4.7 times.
- B. 7.4 times.
- C. 8.7 times.
- D. 10.1 times.

$$\begin{aligned}\text{Inventory turnover ratio} &= \frac{\text{Cost of sales}}{\text{Inventory}} \\ &= \frac{€3996}{€847} = 4.7 \text{ times}\end{aligned}$$

Multiple Choice Questions (Continued)

6.20 A high inventory turnover ratio (10 or higher) indicates that a company:

- i. has large amounts of slow-moving inventory;
- ii. has a lengthy production cycle;
- iii. needs to hold extra inventory in anticipation of unexpected surges of demand;
- iv. operates in the retail sector where inventory requirements are low relative to annual sales.

Which of the following is correct?

- A. (i) and (iii) only.
- B. (i) and (iv) only.
- C. (ii) and (iii) only.
- D. (iv) only.

Multiple Choice Questions (Continued)

6.21 What is Award's average collection period in 20x2?

- A. 50 days.
- B. 64 days.
- C. 78 days.
- D. 84 days.

$$\begin{aligned}\text{Average collection period} &= \frac{\text{Trade receivables}}{\text{Revenues per day}} \\ &= \frac{€1500}{€8568 / 365} = 64 \text{ days}\end{aligned}$$

Multiple Choice Questions (Continued)

6.22 What is Award's non-current assets turnover ratio in 20x1?

- A. 0.48 times.
- B. 0.58 times.
- C. 0.83 times.
- D. 1.00 times.

$$\begin{aligned}\text{Non-current asset turnover ratio} &= \frac{\text{Net turnover}}{\text{Non-current assets}} \\ &= \frac{€7044}{€8537} = 0.83 \text{ times}\end{aligned}$$

Multiple Choice Questions (Continued)

6.23 What proportion of Award's turnover is taken up by administrative expenses in 20x2?

- A. 7.2%
- B. 8.5%
- C. 10.3%
- D. 15.9%

$$\frac{\text{Administrative expenses}}{\text{Net turnover}} = \frac{€728}{€8568} = 8.5\%$$

Multiple Choice Questions (Continued)

6.24 Which one of the following would result in an increase in return on investment?

- A. Sale of surplus fixed assets above book value.
- B. Increase in share capital.
- C. Receipt of cash from debtors.
- D. Increase in distribution costs.

Multiple Choice Questions (Continued)

The following information applies to Questions 6.25–6.28.

The following information has been extracted from the annual accounts of Sunmed Holidays plc.

	€'000
Profit on ordinary activities after taxation	367.5
Exceptional items	30.0
Profit for the year	<u>397.5</u>
Ordinary dividend	98.0
Retained profit for the year	<u>299.5</u>

Ordinary share capital comprises 700 000 €1 ordinary shares. The current market price of Sunmed ordinary shares is €3.50 each.

Multiple Choice Questions (Continued)

6.25 What is the dividend yield ratio (ignoring taxation)?

- A. 4.0%
- B. 14.0%
- C. 24.6%
- D. 25.0%

$$\begin{aligned}\text{Dividend per share} &= \frac{\text{Dividend}}{\text{Number of ordinary shares}} \\ &= \frac{€98\,000}{700\,000} = 14 \text{ cents}\end{aligned}$$

$$\begin{aligned}\text{Dividend yield} &= \frac{\text{Dividend per share}}{\text{Market value per share}} \times 100 \\ &= \frac{14\text{p}}{€3.50} \times 100 = 4\%\end{aligned}$$

Multiple Choice Questions (Continued)

6.26 What is the earnings per share (ignoring exceptional items)?

- A. 14.0 cents.
- B. 42.8 cents.
- C. 52.5 cents.
- D. 56.8 cents.

$$\begin{aligned}\text{EPS} &= \frac{\text{Profit on ordinary activities after tax}}{\text{Number of ordinary shares}} \\ &= \frac{€367\,500}{700\,000} = 52.5 \text{ cents}\end{aligned}$$

Multiple Choice Questions (Continued)

6.27 What is the price/earnings ratio?

A. 1.9

B. 6.7

C. 10.5

D. 15.0

$$\begin{aligned}\text{PE ratio} &= \frac{\text{Market price}}{\text{EPS}} \\ &= \frac{€3.50}{52.5\text{p}} = 6.7\end{aligned}$$

Multiple Choice Questions (Continued)

6.28 What is the dividend cover ratio?

- A. 3.06 times.
- B. 3.27 times.
- C. 3.75 times.
- D. 4.06 times.

Multiple Choice Questions (Continued)

6.29 If the number of ordinary shares in Award is increased to 484m at the year-end, what would be revised earnings per share for 20x2?

A. €1.04

B. €1.48

C. €1.50

D. €1.86

$$\frac{\text{Net profit}}{\text{Number of ordinary shares}} = \frac{€719}{484} = €1.48$$

Multiple Choice Questions (Continued)

6.30 In 20x2, what is the dividend cover in Award's consolidated accounts?

- A. Nil.
- B. 4.0 times.
- C. 4.6 times.
- D. 5.8 times.

$$\frac{\text{Net profit}}{\text{Dividend payout}} = \frac{€719}{€156} = 4.6 \text{ times}$$

Multiple Choice Questions (Continued)

6.31 If Award's ordinary shares have a market value of £10 each, what is the dividend yield for 20x2?

A. Nil.

B. 3.2%

C. 4.6%

D. 5.1%

$$\begin{aligned}\text{Dividend yield ratio} &= \frac{\text{Dividend per share}}{\text{Market value per share}} \\ &= \frac{€0.32}{€10} \times 100 = 3.2\%\end{aligned}$$

Multiple Choice Questions (Continued)

6.32 If Award's ordinary shares have a market value of €9.30 each, what is the price/earnings ratio (using the basic earnings per share) in 20x1?

- A. 4.76
- B. 6.20
- C. 6.41
- D. 7.95

$$\begin{aligned}\text{Price-earnings ratio} &= \frac{\text{Market value per share}}{\text{Earnings per share}} \\ &= \frac{€9.30}{€1.17} = 7.95\end{aligned}$$

Case Study 6.1

Leven Books Limited is considering the acquisition of a bookbinding company to expand its publishing interests. Its chief executive has highlighted two possible targets, Crail Binding Limited and Tayport Publishing Services Limited.

The following information has been obtained for their most recent financial years:

Profit & loss	Crail Binding		Tayport Publishing	
	€	€	€	€
Sales		68 000		61 500
Cost of sales		30 000		38 000
Gross profit margin		38 000		23 500
Selling & distribution costs	16 000		10 000	
Administration costs	10 000		6 500	
		26 000		16 500
Profit before tax		12 000		7 000
Taxation		3 000		1 750
Profit after tax		9 000		5 250

Case Study 6.1 (Continued)

Balance sheet			
Fixed assets		10 600	8 300
Current assets			
Inventory	18 000		8 000
Debtors	28 000		10 000
Cash	–		2 000
	<u>46 000</u>		<u>20 000</u>
Current liabilities			
Creditors	26 000		6 000
Overdraft	5 000		–
	<u>31 000</u>		<u>6 000</u>
Net current assets		15 000	14 000
		<u>25 600</u>	<u>22 300</u>
Capital and reserves			
Ordinary share capital		10 000	12 000
Retained profits		5 600	10 300
		<u>15 600</u>	<u>22 300</u>
Long-term loan		10 000	–
		<u>25 600</u>	<u>22 300</u>

Case Study 6.1 (Continued)

The Chief Executive favors Crail Binding ahead of Tayport Publishing, since it earned higher profits and generated higher sales in the past financial year.

As the company's financial adviser, you have been asked for your assessment of the two companies, from the particular viewpoints of:

- i. Liquidity**
- ii. Profitability**
- iii. Capital structure**
- iv. Efficiency**

Case Study 6.1 (Solution)

i. Liquidity

		Crail	Tayport
(a)	Current ratio		
	$\frac{\text{Current assets}}{\text{Current liabilities}}$	$\frac{€46\,000}{€31\,000}$	$\frac{€20\,000}{€6\,000}$
	=	1.48 times	3.33 times
(b)	Quick ratio		
	$\frac{\text{Current assets (- inventory)}}{\text{Current liabilities}}$	$\frac{€28\,000}{€31\,000}$	$\frac{€12\,000}{€6\,000}$
	=	0.9 times	2.0 times

Tayport is significantly stronger in both ratios than Crail, which seems to be carrying too much inventory. Tayport has plenty in reserve to meet its short-term obligations, Crail is more likely to be exposed to cash flow difficulties

Case Study 6.1 (Solution)

ii. Profitability ratios

	Crail	Tayport
(a) Profit margin ratio		
$\frac{\text{Profit before tax}}{\text{Sales}}$	$\frac{€12\,000}{€68\,000} \times 100$	$\frac{€7\,000}{€61\,500} \times 100$
=	17.67%	11.38%
(b) Return on total assets		
$\frac{\text{Profit before tax}}{\text{Total assets}}$	$\frac{€12\,000}{€56\,600} \times 100$	$\frac{€7\,000}{€28\,300} \times 100$
=	21.27%	24.73%
Total assets = Fixed assets + Current assets		
(c) Return on owner's equity		
$\frac{\text{Profit before tax}}{\text{Owner's equity}}$	$\frac{€12\,000}{€15\,600} \times 100$	$\frac{€7\,000}{€22\,300} \times 100$
=	76.92%	31.39%

The Chief Executive's view on Crail's superiority is well justified in terms of profitability assessment. Only in terms of the return on total assets is it inferior to Tayport.

Case Study 6.1 (Solution)

iii. Capital structure

	Crail	Tayport
(a) Fixed to current asset ratio		
$\frac{\text{Fixed assets}}{\text{Current assets}}$	$\frac{€10\,600}{€46\,000} \times 100$	$\frac{€8\,300}{€20\,000} \times 100$
=	23.04%	41.50%
(b) Debt ratio		
$\frac{\text{All creditors}}{\text{Total assets}}$	$\frac{€41\,000}{€56\,600} \times 100$	$\frac{€6\,000}{€28\,300} \times 100$
=	72.44%	21.2%

Both companies are operating with low levels of fixed assets, which may be indicative of a lack of new investment in recent years.

Crail's gearing ratio is high, whereas Tayport's is on the low side – which will prevent the possibility of some borrowed funds being injected into Crail to fund any new investment without seriously damaging the debt ratio

Case Study 6.1 (Solution)

iv. Efficiency

	Crail	Tayport
(a) Inventory turnover		
$\frac{\text{Cost of sales}}{\text{Inventory}}$	$\frac{€30\,000}{€18\,000}$	$\frac{€38\,000}{€8\,000}$
=	1.67 times	4.75 times
(b) Average collection period		
$\frac{\text{Debtors}}{\text{Sales per day}}$	$\frac{€28\,000}{€68\,000 / 365}$	$\frac{€10\,000}{€61\,500 / 365}$
=	150 days	59 days
(c) Fixed asset turnover		
$\frac{\text{Sales}}{\text{Fixed assets}}$	$\frac{€68\,000}{€10\,600}$	$\frac{€61\,500}{€8\,300}$
=	6.42 times	7.41 times

In terms of the efficient organization and control of its assets, it is evident that Tayport is being managed much better than Crail, which would seem to have too much slow-moving inventory and poor credit control resulting in high debtors.

Case Study 6.2

In your role as director of Whittington Beers plc, you have been closely reviewing the operating performance of one of your principal competitors, United Breweries plc. Over the past few years, you have computed the following range of ratios for United Breweries plc. You also have available the average ratios for the brewing industry for 20x3.

Ratio	20x0	20x1	20x2	20x3 Average
Current (times)	1.10	1.05	0.97	1.35
Quick (times)	0.85	0.75	0.75	0.95
Profit margin (%)	10.15	11.58	7.63	12.17
Return on total assets (%)	8.80	12.25	4.24	5.72
Return on owner's equity (%)	12.16	11.08	8.45	12.15
Fixed to Current assets (%)	225.60	350.50	378.80	365.20
Debt (%)	65.10	52.60	44.70	55.60
Times interest earned	12.30	11.20	10.10	14.20
Average collection period (days)	71	70	63	70
Inventory turnover (times)	18.70	18.60	17.20	18.50
Earnings per share (cents)	20.80	24.80	25.60	22.30
Dividend yield (%)	1.12	1.46	1.78	2.15

Case Study 6.2 (Continued)

The 20x3 published accounts are now available to you, providing an opportunity to update the ratios for both 20x2 and 20x3.

United Breweries plc	20x3	20x2
Profit and loss account	€m	€m
Sales	1 514	1 487
Cost of sales	760	813
Gross profit	754	674
Operating costs	571	465
Profit on ordinary activities before taxation	183	209
Taxation	(49)	(62)
Profit on ordinary activities after taxation	134	147
Dividends	(73)	(69)
Profit retained for the year	61	78

Case Study 6.2 (Continued)

Balance sheet		
Fixed assets	<u>1 952</u>	<u>1 749</u>
Current assets		
Stocks	103	90
Debtors	237	231
Cash at Bank	100	124
	<u>440</u>	<u>445</u>
Creditors due within one year	<u>(638)</u>	<u>(543)</u>
Net current liabilities	<u>(198)</u>	<u>(98)</u>
Total assets /less current liabilities	<u>1 754</u>	<u>1 651</u>
Creditors due in excess of one year	<u>(331)</u>	<u>(320)</u>
	<u>1 423</u>	<u>1 331</u>
Capital and reserves		
Share capital	376	371
Share premium	26	–
Retained profits	1 021	960
	<u>1 423</u>	<u>1 331</u>

Case Study 6.2 (Continued)

Additional information is also available from the published accounts:

1. Operating costs includes €26m of interest payable in 20x3 (20x2: €23m).
2. Share capital comprises wholly Ordinary Shares of 50 cents each in nominal value. Early in 20x3, a further 10m Ordinary Shares were issued at a price of 310 cents per share, giving rise to a share premium balance of €26m.
3. The market price of United Breweries' share was 350 cents at the end of the financial year 20x3 (20x2: 400 cents).

Your colleagues on the Board of Directors (of Whittington Beers plc) believe that United Breweries plc may be prepared to engage in talks to discuss a possible agreed takeover bid by Whittington Beers plc.

Required

Update the ratios for 20x2 and 20x3. Assess United Breweries' performance in comparison with the industry average for 20x3, highlighting any causes for concern and positive indicators for the future.

Case Study 6.2 (Solution)

Liquidity Ratios:

	20x3	20x2
Current ratio		
$\frac{\text{Current assets}}{\text{Current liabilities}}$	$\frac{440}{638}$	$\frac{445}{543}$
=	0.69 times	0.82 times
Quick ratio		
$\frac{\text{Current assets} - \text{Stock}}{\text{Current liabilities}}$	$\frac{440 - 103}{638}$	$\frac{445 - 90}{543}$
=	0.53 times	0.65 times

The substantial decline in both Current and Quick ratios indicate that there are increasing liquidity problems, manifest in a net current liabilities position

Case Study 6.2 (Solution)

Profitability Ratios:

Profit margin

$$\frac{\text{Profit before tax}}{\text{Sales} \times 100}$$

=

$$\frac{183}{1514} = 12.08\%$$

$$\frac{209}{1487} = 14.06\%$$

Return on total assets

$$\frac{\text{Profit before tax}}{\text{Total assets} \times 100}$$

—

$$\frac{183}{(1952 + 440)} = \frac{183}{2392} = 7.65\%$$

$$\frac{209}{(1749 + 445)} = \frac{209}{2194} = 9.53\%$$

Return on owner's equity

$$\frac{\text{Profit before tax}}{\text{Owner's equity} \times 100}$$

=

$$\frac{183}{1423} = 12.86\%$$

$$\frac{232}{1331} = 15.70\%$$

Case Study 6.2 (Solution)

Capital Structure Ratios:

Fixed to current asset ratio

$$\frac{\text{Fixed assets}}{\text{Current assets}} \times 100$$

=

$$\frac{1952}{440}$$

$$443.6\%$$

$$\frac{1749}{445}$$

$$393.0\%$$

Debt ratio

$$\frac{\text{Total creditors}}{\text{Total assets}} \times 100$$

=

$$\frac{638 + 331}{1952 + 440}$$

$$40.5\%$$

$$\frac{543 + 320}{1749 + 445}$$

$$39.3\%$$

Times interest earned

$$\frac{\text{Profit before tax} + \text{Interest}}{\text{Interest}}$$

=

$$\frac{183 + 26}{26}$$

$$8.04 \text{ times}$$

$$\frac{209 + 23}{23}$$

$$10.09 \text{ times}$$

The times interest earned ratio has been gradually weakening over the period and is well down on the industry average.

Case Study 6.2 (Solution)

Efficiency Ratios:

Average collection period
(days)

$$\frac{\text{Debtors}}{\text{Sales per day}}$$

=

$$\frac{237}{1514 / 365} \\ 58 \text{ days}$$

$$\frac{231}{1487 / 365} \\ 57 \text{ days}$$

Inventory turnover (times)

$$\frac{\text{Cost of sales}}{\text{Stock}}$$

=

$$\frac{760}{103} \\ 7.4 \text{ times}$$

$$\frac{813}{90} \\ 9.0 \text{ times}$$

Inventory turnover has also demonstrated a pattern of decreasing over the period, indicative of poor inventory control and suggesting the real possibility of slow-moving stock

Case Study 6.2 (Solution)

Investors Ratios:

Earnings per share

$$\frac{\text{Profit after tax}}{\text{No. of Ordinary Shares}}$$

$$= \frac{\frac{€134\text{m}}{752\text{m}}}{17.8 \text{ cents}} \quad \frac{\frac{€147\text{m}}{742\text{m}}}{19.8 \text{ cents}}$$

Dividend yield

$$\frac{\text{Dividend per share}}{\text{Market value per share} \times 100}$$

$$= \frac{\frac{\frac{€73\text{m} / 752\text{m}}{€3.50}}{\frac{9.71 \text{ cents}}{€3.50}}}{2.77\%} \quad \frac{\frac{\frac{€69\text{m} / 742\text{m}}{€4.00}}{\frac{9.30 \text{ cents}}{€4.00}}}{2.33\%}$$

The earnings per share have fallen back badly over the past couple of years and are now well down on the industry average

Case Study 6.2 (Solution)

Positive Indicators for the Future

- 1 The return on total assets compares favorably with the industry average – 7.65% in 20x3 against 5.72%. Indeed, in previous years, it has been substantially better, around the 11–12% level – a hopeful sign for the future
- 2 A major commitment to fixed assets has been made over the period, reflected in the growing fixed to current asset ratio, which has almost doubled in the period. The comparison with the industry average suggests that the process has gone far enough and the company should be looking to reduce capital expenditure over the next few years
- 3 The company's debt position has improved substantially since 20X0 – down from 65.1% to 40.5%, way ahead of the industry average of 55.6%. Again, this suggests that the cash flow has been sufficiently strong to allow this to occur
- 4 The success in reducing their average collection period from debtors has been quite remarkable – down from 71 days to 58 days, against a current industry average of 70 days

Case Study 6.2 (Solution)

Positive Indicators for the Future

- 5 There have been gradual improvements in dividend yield over the period, resulting in a dividend yield higher than the industry average in both 20x2 and 20x3
- 6 Although the profit margin ratio finishes higher than the industry average (at 12.08 per cent), it has been extremely volatile over the period
- 7 Return on owners' equity has been patchy over the past few years. However, in 20X3, it has steadied at around the industry average